



HDFC BANK

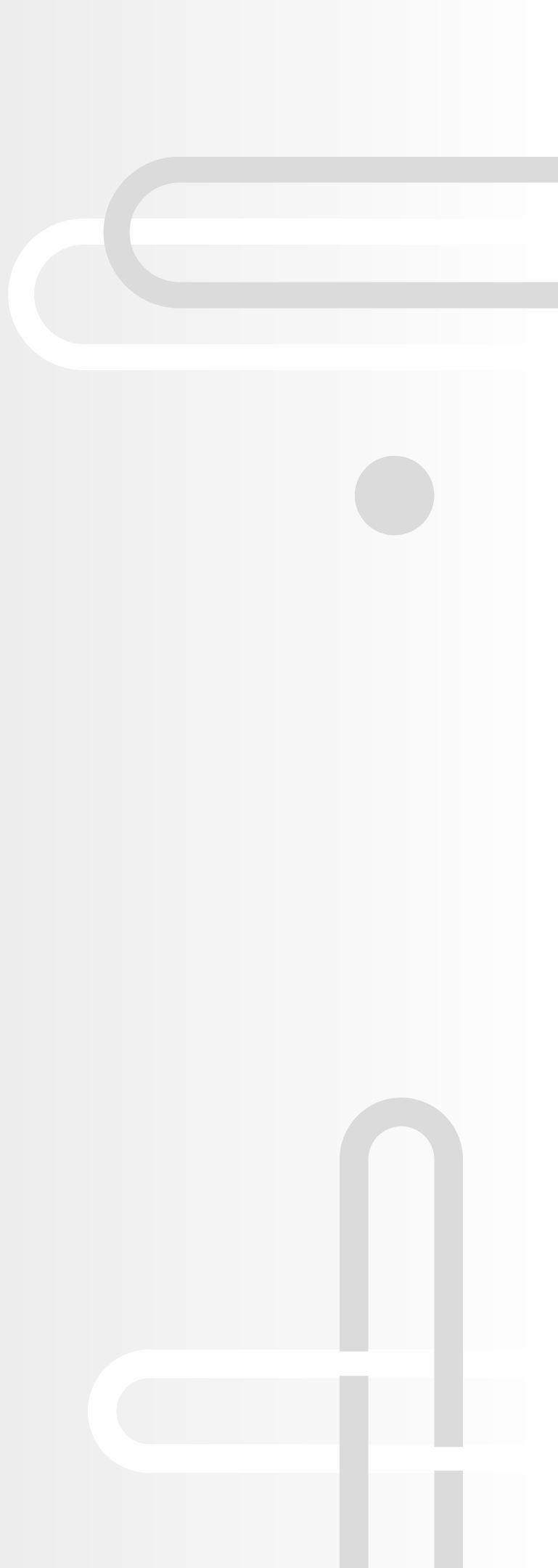
EQUITY RESEARCH

Financial Analysis, Forecast
& Valuation

Analysis Period: FY2022–
FY2026

Independent Equity
Research Project

by Varshitha Chowdary



HDFC Bank — Company Overview

HDFC BANK COMPANY OVERVIEW															
BANK NAME	HDFC BANK LTD														
HEADQUARTERS	MUMBAI, MAHARASHTRA, INDIA														
INDUSTRY	BANKING & FINANCIAL SERVICES														
BUSINESS TYPE	COMMERCIAL BANKING														
STOCK EXCHANGE	NSE/BSE														
TICKER	HDFC BANK LTD														
PROJECT ROLE	EQUITY RESEARCH ANALYST														
ANALYSIS PERIOD															

Company Snapshot

Bank: HDFC Bank

Industry: Banking & Financial Services

Business: Private-Sector Commercial

Banking

Core Segments: Retail Banking,

Wholesale Banking & Treasury

Analysis Period: FY2022–FY2026

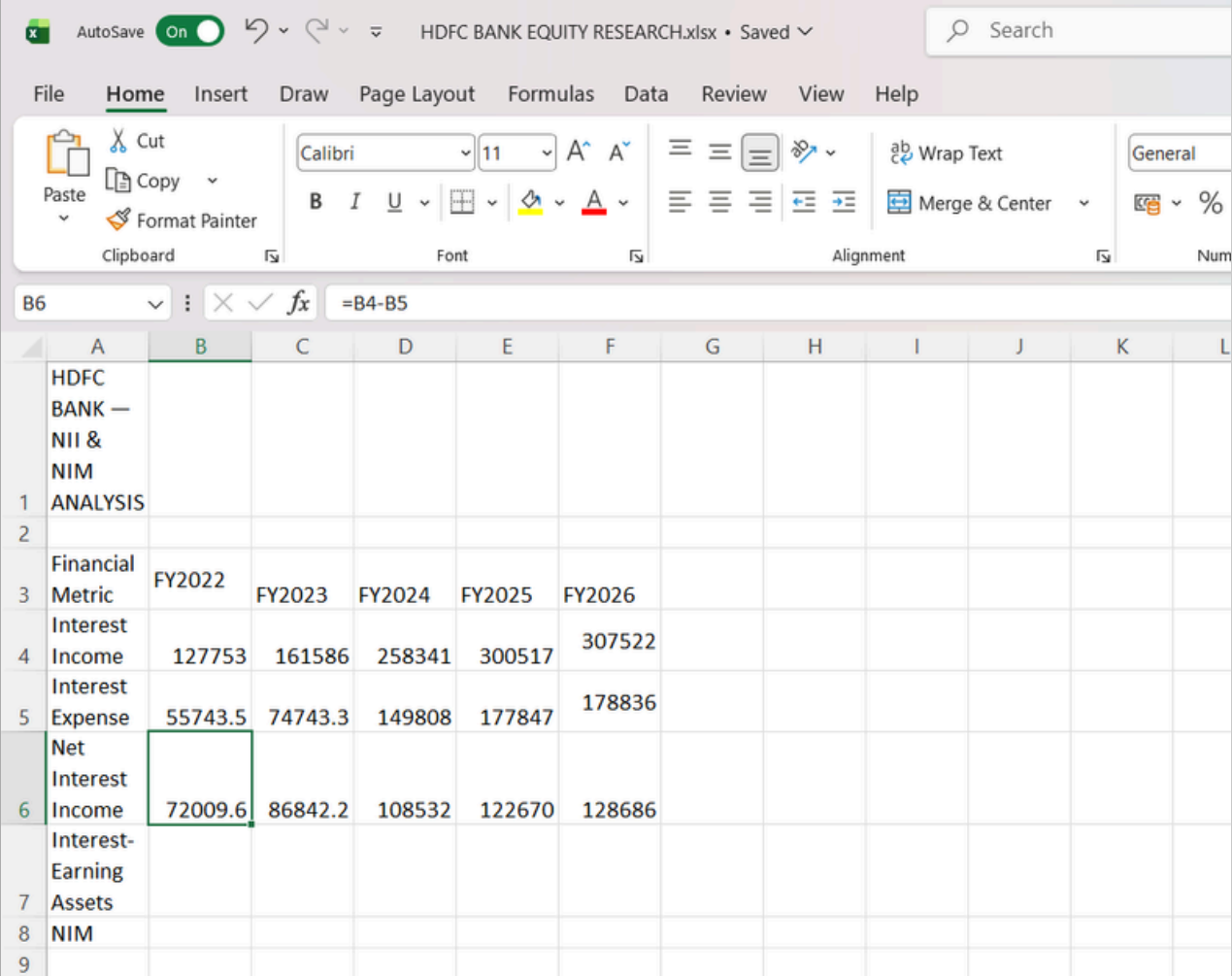
Research Focus

Financial Performance | Risk | Forecasting

| Valuation

Objective: Evaluate HDFC Bank's financial performance, future growth potential and investment attractiveness using an independent equity-research framework.

FIVE-YEAR FINANCIAL PERFORMANCE



HDFC BANK — NII & NIM ANALYSIS						
Financial Metric	FY2022	FY2023	FY2024	FY2025	FY2026	
Interest Income	127753	161586	258341	300517	307522	
Interest Expense	55743.5	74743.3	149808	177847	178836	
Net Interest Income	72009.6	86842.2	108532	122670	128686	
Interest-Earning Assets						
NIM						

Analyst Interpretation

The sustained increase in NII reflects growth in the bank's interest-earning asset base, supported by expansion in loans and deposits.

Net Interest Income (NII)

Year	NII
FY2022	₹72,010 Cr
FY2023	₹86,842 Cr
FY2024	₹1,08,532.5 Cr
FY2025	₹1,22,670 Cr
FY2026	₹1,28,686 Cr

Key Finding

NII increased significantly from ₹72,010 Cr in FY2022 to ₹1,28,686 Cr in FY2026, indicating strong expansion in core banking earnings.

KEY FINANCIAL METRICS FY2026

GROWTH

NII CAGR — 16%

NII Growth — 5%

Loan Growth — 11%

Deposit Growth — 14%

PROFITABILITY

NIM — 3.50%

ROA — 1.90%

ROE — 14.80%

RISK & CAPITAL

GNPA — 1.25%

Key Takeaway: HDFC Bank demonstrates healthy balance-sheet growth, strong profitability and controlled asset quality.

FY2026

- Loans: ₹29,37,166 Cr
- Deposits: ₹31,05,300 Cr
- Loan Growth: 11%
- Deposit Growth: 14%

g position and

NET INTEREST INCOME & PROFITABILITY

NII Performance

FY2022 NII: ₹72,010 Cr

FY2026 NII: ₹1,28,686 Cr

NII CAGR: 16%

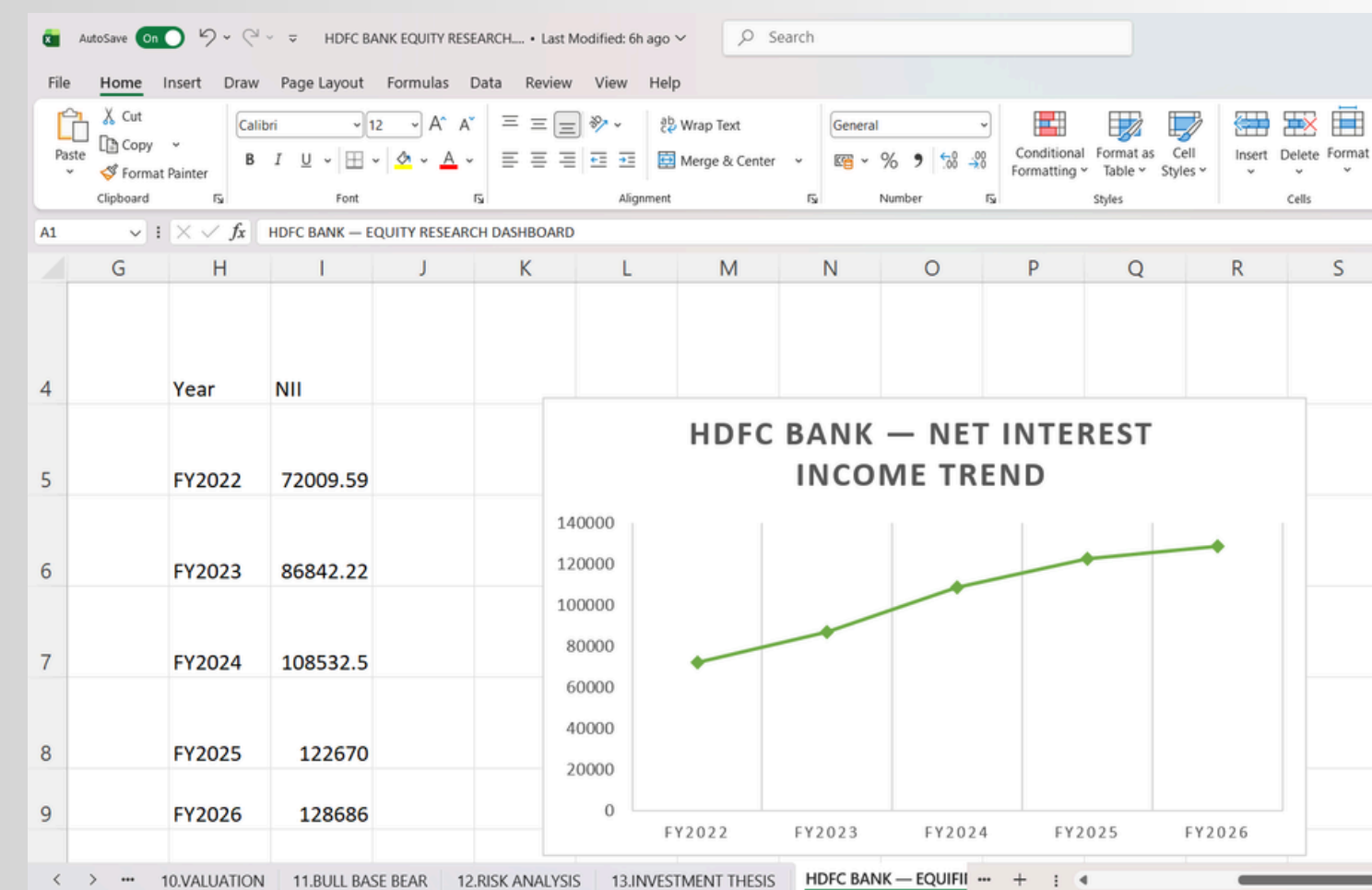
FY2026 NII Growth: 5%

Profitability

NIM: 3.50%

ROA: 1.90%

ROE: 14.80%



Key Takeaway: NII has expanded strongly over the five-year period, while profitability remains supported by healthy margins and returns.

ASSET QUALITY & RISK

Key Risk Metrics

GNPA

1.25%

Credit–Deposit Ratio

95%

Capital Adequacy

Strong

Loan Growth

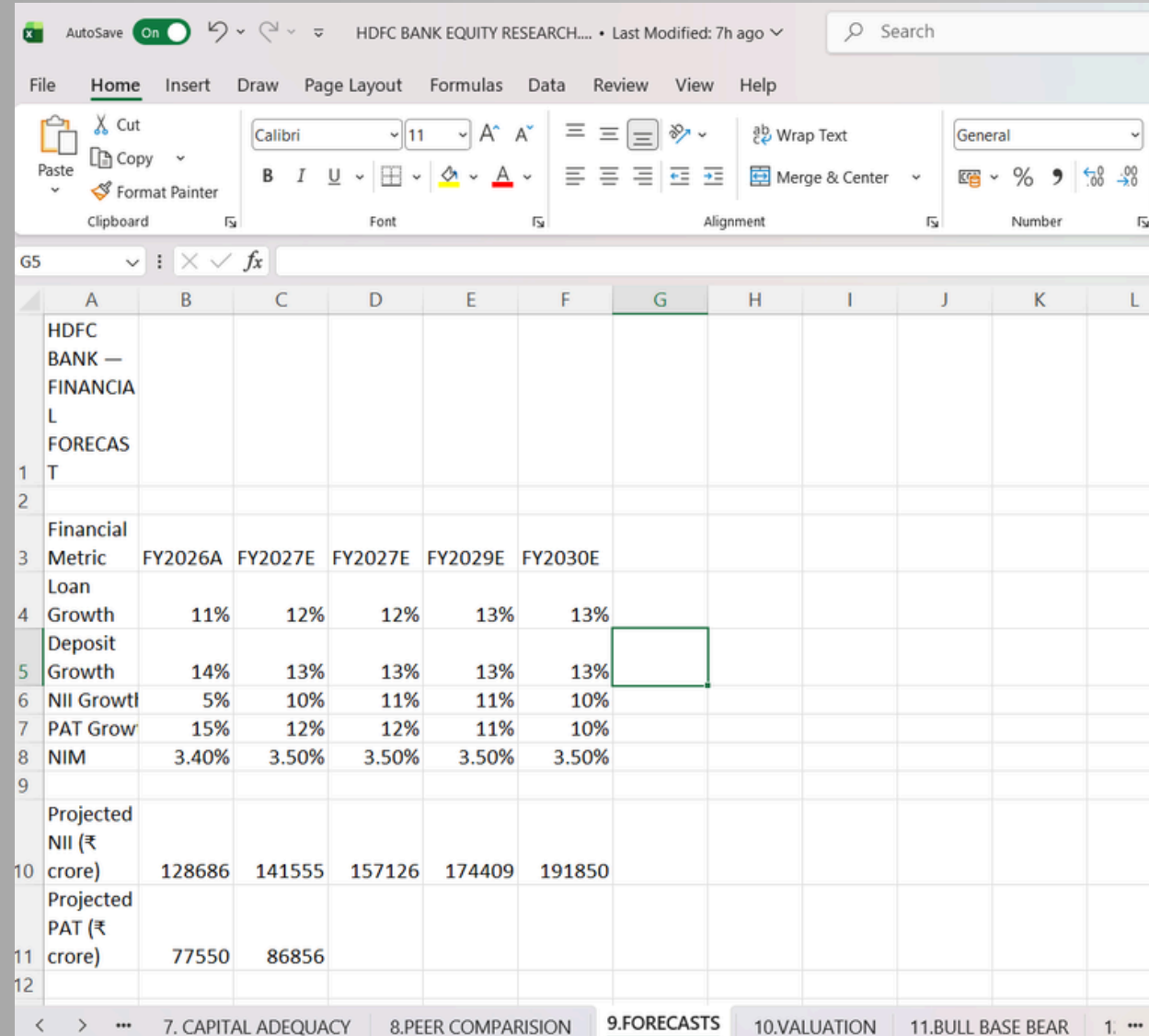
11%

Risk Interpretation

1. Controlled asset quality with GNPA at 1.25%.
2. 95% credit–deposit ratio indicates strong deployment of deposits into loans.
3. 11% loan growth reflects continued expansion while maintaining risk discipline.

Key Takeaway: HDFC Bank maintains controlled asset-quality risk while continuing to expand its lending portfolio.

FORWARD OUTLOOK & FORECAST



Metric	FY2026A	FY2027E	FY2027E	FY2029E	FY2030E
Loan Growth	11%	12%	12%	13%	13%
Deposit Growth	14%	13%	13%	13%	13%
NII Growth	5%	10%	11%	11%	10%
PAT Growth	15%	12%	12%	11%	10%
NIM	3.40%	3.50%	3.50%	3.50%	3.50%
Projected NII (₹ crore)	128686	141555	157126	174409	191850
Projected PAT (₹ crore)	77550	86856			

Forecast Assumptions

FY2027E

Loan Growth: 12%

Deposit Growth: 13%

NII Growth: 10%

PAT Growth: 12%

NIM: 3.50%

Analyst View

Growth Outlook

- Continued balance-sheet expansion is expected, supported by loan and deposit growth.

Earnings Outlook

- NII and PAT are projected to grow at a moderate pace, while NIM is assumed to remain broadly stable.

Model Approach

- Forecasts are based on analyst assumptions and are not company guidance.

Key Takeaway: The base forecast assumes sustainable growth with stable margins rather than aggressive long-term expansion.

P/B VALUATION

Valuation Metrics

- Reference Price
₹732.90
- Current P/B
2.00×
- FY2027E BVPS
₹409.92
- Target P/B
2.20×
- Target Price
₹901.82
- Potential Upside
23.0%

	A	B	C	D	E	F	G	H	I	J	K	L	M
1	HDFC BANK — VALUATION ANALYSIS												
2	Valuation Metric	Value											
3	FY2026 Book Value												
4	Per Share	366											
5	Current Share Price	732.9											
6	Current P/B Ratio	2.002459											
7	Forecast Book Value												
8	Growth	12%											
9	FY2027E Book Value												
10	Per Share	409.92											
11	Target P/B Multiple	2.2											
12	Implied FY2027 Share Price	901.824											
13	Potential Upside	23%											

Valuation is based on the assumptions and P/B framework used in this analysis.

Key Takeaway: The base-case P/B valuation indicates approximately 23% potential upside, while the scenario analysis highlights the range of possible valuation outcomes.

FINAL INVESTMENT VIEW

 BUY

BASE TARGET PRICE: ₹901.82

POTENTIAL UPSIDE: 23.0%

BEAR → ₹711.50

BASE → ₹901.82

BULL → ₹1,052.25

Investment thesis: HDFC Bank combines scale, strong capitalization and a resilient deposit franchise with improving earnings potential.

BUY : subject to the assumptions and valuation framework used in this analysis.